



Pan Africa Insurance Holdings Limited

Audited Group Financial Results for the year ended 31 December 2014

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1. Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited ("PAIHL" or "the Group") is pleased to announce the Group's audited results for the year ended 31 December 2014.

2. Key Features

- Profit before tax of Kshs. 1.15bn is down 24% from Kshs. 1.51bn
- Shareholders' funds up by 13% to Kshs. 3.78bn
- Total assets up by 16% to Kshs. 24.6bn
- Pan Africa Life Assurance Limited Embedded Value (EV) increased by a pleasing 34% to Kshs. 3.58bn while Group EV increased by 21% to Kshs. 6.4bn
- Group Capital Adequacy Requirement (Solvency) covered 1.63 times

3. Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenyan Companies Act. These policies are consistent with those applied in prior years.

4. The Economic Environment

The Kenya National Bureau of Statistics estimates that Kenya's economy expanded by 5.5% during the third quarter of 2014 compared to a revised growth of 6.2% in the same period of 2013. This growth was mainly supported by the strong expansion of activities in construction, finance and insurance; wholesale and retail trade; information and communication; and agriculture and forestry.

The NSE share index at 5,112 recorded minimal growth of 3.75% compared to the December 2013 closing index of 4927. The overall 12 month inflation rate declined to 6.02% in December 2014 compared to 7.15% in December 2013. The Kenya Shilling remained relatively weak against the US Dollar and closed at Kshs. 90.60 on 31 December 2014 (December 2013: Kshs. 86.30). Short term interest rates remained relatively stable with the 91 and 182 days treasury bills rate at 8.53% and 10.04% respectively at the end of 2014 compared to the 8.94% and 10.38% at December 2013.

5. Financial Overview

The profit before tax for the Group at Kshs. 1.15bn is 24% down on the Kshs. 1.51bn reported in 2013.

The Group results are analysed as follows:

	31 Dec 14	31 Dec 13
Operating surplus	KShs. M	KShs. M
Investment income on shareholders' assets	688	808
Profit before tax	464	708
Tax	1,152	1,516
Profit for the year after tax	(281)	(266)
Other comprehensive income net of tax	871	1,250
Net surplus for the year	-	3
	871	1,253

Included in the operating surplus are the results from our Life, Property, Asset management and Loans businesses. Three business segments, namely Life, Asset management and Loans exceeded the comparative 2013 operating profit while property sales underperformed due to a depressed market. Our two insurance lines, Individual Life and Corporate Business, continue to be profitable with good prospects for further growth.

Investment income on shareholders' assets declined by 34% mainly due to decrease in unrealized gains in unlisted equities compared to 2013. Demand for our property was depressed in 2014 compared to 2013, but we expect this to pick up again in 2015.

The Group Embedded Value at Kshs. 6.4bn grew by a pleasing 21% for the year.

6. Life Business

The Life business performed well with a profit before tax of Kshs. 573m, up by 35% from Kshs. 422m in 2013. Life gross premiums at Kshs. 5.2bn were 1.4% below the Kshs. 5.3bn achieved in 2013, mainly due to lower average premiums in Individual Life business.

We implemented our new Life administration system in May 2014. The implementation, while challenging, was successful. While our service delivery was impacted by this implementation between May and September 2014, our service levels are back to normal. We expect to utilize 2015 to build efficiencies in our processes further improving our service delivery.

We have declared a 4% (2013: 4%) bonus for 'With Profit' policies and a 10.75% (2013: 10%) interest declaration on Deposit Administration schemes.

7. Dividends

The Directors have recommended a bonus dividend of 1 new share for every 2 held. This is in lieu of a cash dividend as we will utilize the surplus cash on our new office development and the acquisition of Gateway, as previously announced.

8. Looking ahead

We are pleased to have completed the implementation of our Life Administration system and look forward to significantly improving our customers' experience.

We anticipate growth in all our lines of business in the forthcoming year. The Gateway transaction, which was announced on September 2014, has not yet been finalized. We will make further announcements on this in due course.

For and on behalf of the Board

Dr JPN Simba, OGM, MBS (Chairman)
Mr M Kibati (Group Chief Executive Officer)

Directors

JPN Simba, MM Dawes*, S Mudhune, R Patel, JP Wrench*, ML Olivier*, JA Buribidge*, M Kibati
*South African **British

member of



Pan Africa Insurance Holdings Limited - Group

Group Financial Results for the year ended 31 December 2014

Group Statement of Comprehensive Income

	31 Dec 2014	31 Dec 2013
	KShs:000	KShs:000
Gross written premium	5,246,527	5,324,099
Outward reinsurance premium	(255,757)	(222,272)
Net written premium	4,990,770	5,101,827
Investment income	1,993,175	1,534,084
Fair value gains	648,386	1,168,709
Fee and commissions earned	49,013	52,680
Other operating income (including property)	293,651	685,054
Total other revenue	2,984,225	3,440,527
Total income	7,974,995	8,542,354
Gross benefits and claims paid	(2,710,948)	(2,258,375)
Reinsurers' share of claims	121,405	115,711
Net change in contract liabilities	(2,464,151)	(3,131,674)
Net claims and policy holders benefits	(5,053,694)	(5,274,338)
Cost of sales	(19,848)	(68,775)
Commission payable	(778,294)	(724,477)
Operating and other expenses	(973,171)	(960,408)
Total benefits, claims and other expenses	(6,825,007)	(7,027,998)
Profit before share of profit of associate	1,149,988	1,514,356
Share of profit of associate	2,610	2,088
Profit before tax	1,152,598	1,516,444
Income tax expense	(281,408)	(266,012)
Profit for the year after tax	871,190	1,250,432
Fair value gain on property and equipment, net of tax	-	2,747
Other comprehensive income net of tax	-	2,747
Other comprehensive income for the period	-	2,747
Total profit and other comprehensive income	871,190	1,253,179
Profit attributable to:		
Equity holders	871,190	1,253,179
Earnings per share		
Basic	9.07	13.05
Diluted	9.07	13.05
Shares used in calculating earnings per share	96,000,000	96,000,000

Group Statement of Financial Position

CAPITAL AND RESERVES	480,000	480,000
Share capital	124,431	124,431
Statutory reserve	1,848,043	1,274,251
Retained earnings	1,325,159	1,459,761
Total capital and reserves	3,777,633	3,338,443
ASSETS		
Intangible assets	128,614	123,459
Property and equipment	111,145	114,749
Investment properties	1,091,407	922,282
Land and development (Inventory)	133,219	145,709
Investments in associates	18,529	15,919
Deferred tax	3,359	28,050
Financial instruments:		
Loans	1,057,864	1,006,619
Held to maturity financial assets	7,026,753	5,536,053
Fair value through profit or loss financial assets	10,430,570	8,181,718
Reinsurance assets	145,397	101,809
Tax recoverable	99,789	31,143
Insurance receivables	253,042	159,290
Receivable and other financial assets	118,426	102,610
Deposits in financial institutions	3,767,707	4,505,266
Cash and bank balances	213,589	182,831
Total assets	24,599,410	21,157,507
LIABILITIES		
Insurance contract liabilities	8,512,313	6,868,452
Market linked contract liabilities	8,933,562	8,069,684
Payable under deposit administration contracts	1,583,895	1,355,921
Deferred tax	555,598	382,275
Provisions	51,925	56,418
Tax payable	7,002	9,972
Insurance payables	439,894	343,199
Payables and other charges	737,588	733,143
Total liabilities	20,821,777	17,819,064

Group Statement of Changes in Equity

Share capital and share premium	604,431	604,431
Opening reserves	2,734,012	1,768,833
Income attributable to shareholders	871,190	1,253,179
Dividends paid	(432,000)	(288,000)
Balance at end of the year	3,777,633	3,338,443

Abridged Statement of Cash Flows

Cash flow from operating activities	917,802	2,665,915
Cash utilised in investing activities	(1,285,184)	(2,118,577)
Cash flows utilised in financing activities	(339,419)	(312,250)
Net (decrease)/increase in cash resources	(706,801)	235,088
Cash resources at the beginning of the year	4,688,097	4,453,009
Cash resources at the end of the year	3,981,296	4,688,097

Pan Africa Life Assurance Limited

Long Term Business

Statement of Comprehensive Income

	31 Dec 2014	31 Dec 2013
	KShs:000	KShs:000
INCOME		
Gross written premium	5,246,528	5,324,099
Outward reinsurance premium	(255,757)	(222,272)
Net written premium	4,990,771	5,101,827
Investment income	1,838,728	1,385,030
Fair value gains	279,308	620,688
Fee and commissions earned	49,013	52,680
Other operating income	9,075	8,959
Total income	7,166,895	7,169,184
OUTGO		
Gross benefits and claims paid	(2,710,948)	(2,258,375)
Reinsurers' share of claims	121,405	115,711
Gross change in contract liabilities	(2,420,563)	(3,036,135)
Change in contract liabilities ceded to reinsurers	(43,588)	(95,538)
Net claims and policyholders benefits	(5,053,694)	(5,274,337)
Commission payable	(767,458)	(716,930)
Operating and other expenses	(771,951)	(755,823)
Total outgo	(6,593,103)	(6,747,090)
Profit before tax	573,792	422,093
Income tax expense	(199,446)	(126,628)
Profit for the year after tax	374,346	295,465
Other comprehensive income	-	-
Total Profit and other comprehensive income	374,346	295,465

Amounts Payable Under Deposit Administration Contracts

At 1 January	1,355,921	1,071,633
Pension fund deposits received	323,302	246,262
Surrenders and annuities paid	(231,383)	(115,486)
Interest payable to policyholders	160,600	174,230
Management charges	(24,545)	(20,718)
At 31 December	1,583,895	1,355,921

Statement of Financial Position

CAPITAL AND RESERVES	200,000	200,000
Share capital	30,260	30,260
Statutory reserve	1,848,044	1,274,248
Accumulated loss	(602,243)	(402,795)
Total shareholders' funds	1,476,061	1,101,713
ASSETS		
Intangible assets	128,263	123,062
Property and equipment	100,495	105,929
Investment properties	1,091,407	922,282
Investments in equity	4,012,663	2,827,517
Government securities	11,914,975	9,855,636
Tax recoverable	-	19,427
Loans	372,071	347,939
Receivables arising out of reinsurance arrangements	145,398	101,810
Receivables arising out of direct insurance arrangements	253,041	159,290
Other receivables	317,144	218,459
Deposits in financial institutions	3,572,297	3,775,612
Cash and bank balances	152,820	166,223
Total assets	22,060,574	18,623,186

LIABILITIES		
Insurance contract liabilities	8,512,312	6,868,452
Market linked contract liabilities	8,933,509	8,069,684
Payable under deposit administration contracts	1,583,895	1,355,921
Deferred tax	554,413	382,275
Tax payable	7,002	-
Insurance payables	439,894	343,198
Other payables	553,488	501,943
Total liabilities	20,584,513	17,521,473

KEY RATIOS

Capital adequacy ratio (capital available/required minimum capital)	133%	133%
Claims ratio (claims incurred/net written premium)	-52%	-42%
Expense ratio (total management expenses/gross written premium)	-15%	-14%
Retention ratio (net written premium/gross written premium)	95%	96%
Commission ratio (gross commission/gross written premium)	-15%	-13%
Solvency ratio (actual solvency/required solvency)	161%	113%